

CATEGORIZATION OF BEHAVIORAL BIASES

In the first edition of this book, I noted that the classification or categorization of biases was not as important as identifying and acting upon biased behavior in actual private-client situations. I made no attempt to distinguish elaborately among types of biases, except to note whether a bias was cognitive or emotional. In this edition of the book, however, we will delve more deeply into cognitive and emotional differences. The cognitive/emotional distinction becomes quite relevant in the investor case studies, namely in Chapter 25, in which it helps to determine if an asset allocation should undergo behavioral modification. As with the last edition, the focus will be on gauging the presence or the absence—not the magnitude—of each bias examined; that is, the degree to which someone is overconfident will not be decided, but rather if he or she is overconfident or not. Furthermore, the discussion is not concerned with how certain biases relate to one another, unless to make a practical application point. Finally, it is important to note that the study of behavioral finance is still nascent, and therefore an overarching theory of investor behavior should not be a realistic expectation.

In its simplest form, cognitive biases are those biases based on faulty cognitive reasoning (cognitive errors), while emotional biases are those based on reasoning influenced by feelings or emotions. Cognitive errors stem from basic statistical, information processing, or memory errors; cognitive errors may be considered to be the result of faulty reasoning. Emotional biases stem from impulse or intuition; emotional biases may be considered to result from reasoning influenced by feelings. Behavioral biases, regardless of source, may cause decisions to deviate from the assumed rational decisions of traditional finance. A more elaborate distinction between cognitive and emotional biases is made in the next section.

DIFFERENCES BETWEEN COGNITIVE AND EMOTIONAL BIASES

In this book, behavioral biases are classified as either cognitive or emotional biases, not only because the distinction is straightforward but also because the cognitive-emotional breakdown provides a useful framework for understanding how to effectively deal with them in practice. I recommend thinking about investment decision making as occurring along a (somewhat unrealistic) spectrum, from the completely rational decision making of traditional finance to purely emotional decision making. In that context, cognitive biases are basic statistical, information processing, or memory errors that cause the decision to deviate from rationality. Emotional biases are those